

Trendline break. You can also use a down-sloping trendline drawn between the two peaks in the pattern. [Figure 63.5](#) shows an example as the top of a symmetrical triangle. Buy when price closes above the down-sloping trendline for the three rising valleys pattern marked 4, 5, 6.

Wait for confirmation. Whichever method you use to determine the breakout price, always wait for confirmation (that is, wait for the breakout). Most of the time, a breakout will be a close above the highest high in the pattern. An early entry or trendline break also confirms the pattern. Not waiting for confirmation is a game best left to amateurs and novice traders because of the low probability of success.

Stop location. Before placing a stop, review how often various locations will trigger a stop using [Table 63.7](#).

Experience

I don't trade this chart pattern much at all. I think that by the time the pattern confirms, price has risen much too far off the bottom to be useful. However, here's a three rising valleys trade I made in Freeport-McMoRan Copper and Gold (FCX), which I show in [Figure 63.4](#).

Price drops from a complex head-and-shoulders top in March, shown as LS (left shoulder), Head (2) (dual head), and RS (right shoulder). The pattern confirms as valid when price closes below the neckline (I) and price drops all the way down to 1.

The three rising valleys pattern appears as turns 1, 2, and 3, with each valley higher than the prior one.

Do the valleys look similar? That's open to debate. Valleys 1 and 3 look similar in that they are wide and squareish looking. Contrast 1 and 3 with valley 2. Valley 2 looks narrow and pointed. The three valleys follow an upward trendline (1, 2, 3, shown) that is reassuring from an aesthetics viewpoint. It *looks* nice. The three valleys look as if they belong together.